

Quantitative Analyst Report: AAPL

Generated: 2026-05-03 09:39:17

1. Final Verdict

Verdict: BUY

Buy Probability: 0.75

Confidence: 0.85

Reasoning:

Apple demonstrates exceptional growth momentum with a 17% YoY revenue increase and forward guidance (14-17%) that significantly exceeds analyst consensus (9.5-10%). While valuation multiples are elevated?specifically EV/EBITDA being 31% above the 10-year median?the combination of expanding gross margins (49.3%) and a massive \$100B buyback program provides strong fundamental support.

Key Factors:

- Revenue growth of 17% YoY beating estimates
- Forward revenue guidance (14-17%) significantly above consensus (9.5-10%)
- Gross margin expansion to 49.3% from 47.1%
- \$100 billion share buyback authorization
- Consensus price target of ~\$300 implies ~7.1% upside from current price

Risks:

- EV/EBITDA is 31% above 10-year historical median
- P/E ratio (33-35x) trades at a premium to mega-cap peer MSFT (~25.9x)
- High valuation multiples limit the margin of safety if growth slows

2. Grounded Research Q&A

Q1: earnings_and_revenue

What were the most recent quarterly earnings (EPS) and revenue figures for Apple Inc (AAPL)? Did they beat or miss analyst expectations?

Answer:

For its most recent quarterly report (Fiscal Q2 2026, ended March 28, 2026), Apple Inc. (AAPL) **beat analyst expectations** on both the top and bottom lines.

Earnings and Revenue Figures

* **Earnings Per Share (EPS):** **\$2.01** (Beat analyst estimates of approximately **\$1.94 ? \$1.95**)

* **Revenue:** **\$111.2 billion** (Beat analyst estimates of approximately **\$109.3 billion ? \$109.7 billion**)

Key Highlights from the Report:

* **Growth:** Revenue increased by approximately **17%** year-over-year.

* **Drivers:** The beat was driven by strong demand for the **iPhone 17** series (generating \$57 billion in revenue) and a record-breaking quarter for **Services** (approximately \$31 billion).

* **Other News:** Along with the earnings beat, Apple announced a planned leadership transition where **Tim Cook** will become Executive Chairman on September 1, and **John Ternus** will take over as CEO. The company also authorized a share buyback of up to \$100 billion and increased its dividend to \$0.27 per share.

Q2: forward_guidance

What is the forward guidance and future growth outlook for AAPL for the next quarter and fiscal year?

Answer:

Based on Apple's fiscal Q2 2026 earnings report released on April 30, 2026, the company has provided an optimistic outlook characterized by strong demand for its latest hardware and record-breaking services growth.

Forward Guidance for the Next Quarter (Fiscal Q3 2026)

Apple's guidance for the June quarter significantly exceeded Wall Street's expectations:

* **Revenue Growth:** Apple projects revenue to grow between **14% and 17%** year-over-year, far outpacing analyst consensus estimates of approximately 9.5% to 10%.

* **Gross Margin:** The company expects gross margins to be between **47.5% and 48.5%**.

* **Services Segment:** Services revenue is expected to maintain a growth trajectory similar to the March quarter (which saw a record 16.3% increase).

* **Key Drivers:** Management cited **"extraordinary demand"** for the iPhone 17 lineup as a primary catalyst for this bullish outlook.

Future Growth Outlook (Fiscal Year 2026 & Beyond)

The broader outlook for the fiscal year and into 2027 focuses on an AI-driven "supercycle" and the expansion of high-margin recurring revenue.

****1. Financial Projections****

- * ****Revenue & EPS:**** Analysts project FY2026 revenue to reach approximately ****\$475 billion**** (a ~14% increase over FY2025) with EPS growing to roughly ****\$8.68****. For FY2027, revenue is forecasted to climb further to around ****\$508 billion****.
- * ****Services Momentum:**** The Services division is a critical growth engine, recently hitting an all-time r

Q3: valuation_multiples

What are the current valuation multiples for AAPL (e.g., P/E ratio, Price-to-Sales, EV/EBITDA)? How do these compare to its industry peers?

Answer:

As of May 2026, Apple Inc. (AAPL) continues to trade at a premium relative to the broader hardware industry and several of its mega-cap peers, reflecting investor confidence in its ecosystem and the high-margin growth of its Services segment.

**Current Valuation Multiples for AAPL (May 2026)**

Based on recent financial data, Apple's key valuation metrics are as follows:

Metric Current Value (Approx.) Notes		
:--- :--- :---		
P/E Ratio (TTM) **33x ? 35x** Most sources place the trailing P/E around 33.8x, with some estimates reaching 35.5x.		
Forward P/E **31x ? 32x** Forward estimates are slightly lower, reflecting projected earnings growth.		
EV/Revenue (P/S) **8.4x ? 9.0x** This represents a significant premium over the hardware sector median.		
EV/EBITDA **25.7x ? 26.2x** This is roughly 31% above Apple's own 10-year median.		

**Comparison with Industry Peers**

Apple's valuation is often viewed through two different lenses: as a ****hardware company**** (where it looks expensive) and as a ****platform/services company**** (where it aligns more closely with other Big Tech firms).

**1. Comparison with "Big Tech" Peers (P/E Ratio)**

When compared to other trillion-dollar tech giants, Apple's P/E is competitive but varies by company:

- * ****Microsoft (MSFT):**** ~25.9x (Apple trades at a premium to MSFT).
- * ****Alphabet (GOOGL):**** ~35.0x (Apple is roughly in line with Google).
- * ****Amazon (AMZN):**** ~37.0x (Amazon t

Q4: analyst_price_targets

What is the consensus 12-month analyst price target for AAPL? What are the highest and lowest targets currently set by major Wall Street firms?

Answer:

Based on recent data from several major financial analysis platforms as of early May 2026, the consensus 12-month price targets for Apple Inc. (AAPL) are as follows:

****Consensus Price Target****

The average 12-month price target generally clusters around ****\$300****, though it varies slightly by source:

- * ****MarketBeat:**** \$304.31
- * ****Benzinga:**** \$302.38
- * ****Stock Analysis:**** \$301.54
- * ****TipRanks:**** \$299.80
- * ****Investing.com:**** \$298.46
- * ****Zacks Investment Research:**** \$296.49

****Highest and Lowest Targets****

* ****Highest Target:**** The most widely cited high target is ****\$350.00****, specifically issued by ****Wedbush**** (as of May 1, 2026). Some other aggregators, such as Alpha Spread, have noted targets as high as \$367.50.

* ****Lowest Target:**** The lowest target is cited as ****\$200.00****, issued by ****Phillip Securities**** (as of September 11, 2025). Other sources list slightly higher lows, such as \$215.00 or \$230.00.

****Summary Table****

Metric	Value	Firm/Source (if specified)
Consensus Average	~\$300	Various (MarketBeat, Benzinga, etc.)
Highest Target	\$350.00	Wedbush
Lowest Target	\$200.00	Phillip Securities

****Disclaimer:**** I am an AI, not a financial advisor. Stock price targets are analyst projections and not guarantees of future performance. Please consult with a certified financial professional before making investment decisions.*

Q5: balance_sheet_health

What is the current state of Apple Inc's balance sheet? Look for cash reserves, total debt, and free cash flow generation.

Answer:

Based on the most recent financial data (as of early 2026), Apple Inc. continues to maintain a powerhouse balance sheet characterized by massive cash generation and a strategic approach to debt.

****1. Cash Reserves****

Apple maintains a high level of liquidity, though it frequently optimizes its cash balance to fund shareholder returns (buybacks and dividends).

- * **Cash & Equivalents:** As of Q1 2026, Apple held approximately **\$45.3 billion** in cash and cash equivalents.
- * **Total Liquidity:** When including short-term investments, its total cash position was approximately **\$68.5 billion** (TTM as of March 2026).
- * **Trend:** The company typically keeps a "net cash neutral" goal, meaning it aims to balance its total cash against its total debt over time.

2. Total Debt

Apple uses debt strategically, often issuing low-interest bonds to fund operations or buybacks rather than repatriating overseas cash at higher tax costs.

- * **Long-Term Debt:** As of Q1 2026, Apple's long-term debt stood at approximately **\$76.7 billion**. For the full fiscal year 2025, it was slightly higher at **\$78.3 billion**.
- * **Debt Profile:** While the company carries significant debt, its **debt-to-equity ratio** has remained manageable (around 1.1x), and its massive operating income makes the interest payments negligible relative to its earnings.
- * **Total Liabilities:** Its broader liabilities (including accounts payable and deferred revenue) were approximately **\$285.5 billion**.

Q6: earnings_signal_verification

Our analysis found these recent earnings signals for AAPL: Q1 CY2026 revenue: \$111.2 billion (up 16.6% year on year); Q1 CY2026 non-GAAP profit: \$2.01 per share (3.6% above estimates). Can you verify these numbers are accurate based on the latest reports?

Answer:

Yes, these numbers are **accurate** based on Apple's latest financial reports for the period ending March 28, 2026 (which corresponds to **Fiscal Q2 2026**).

Here is the detailed verification:

- * **Revenue:** Apple reported **\$111.2 billion** for the quarter. This is a record for the March quarter.
 - * **Revenue Growth:** The revenue increase is reported as **17% year-over-year** (your figure of **16.6%** is the precise unrounded calculation based on the year-ago revenue of approximately \$95.4 billion).
 - * **Profit (EPS):** The diluted earnings per share (EPS) was exactly **\$2.01**.
 - * **Performance vs. Estimates:** The reported EPS of \$2.01 was approximately **3.6% above** the consensus analyst estimate of **\$1.94**.
- Additional Context from the Report:**
- * **Drivers:** The growth was primarily driven by record-breaking demand for the **iPhone 17 lineup** and an all-time revenue record for the **Services** segment (\$30.98 billion).
 - * **Capital Return:** Alongside these results, Apple's board authorized a new **\$100 billion share repurchase program** and increased the quarterly dividend to \$0.27 per share.
 - * **Margins:** GAAP gross margin expanded to **49.3%**, up from 47.1% in the prior

year's March quarter.

3. Raw Input Data

earnings:

- Q1 CY2026 revenue: \$111.2 billion (up 16.6% year on year)
- Q1 CY2026 non-GAAP profit: \$2.01 per share (3.6% above estimates)

revenue_figures:

- Q1 CY2026 revenue: \$111.2 billion

analyst_price_targets:

- Morgan Stanley raised price target from \$315 to \$330 (April 30, 2026)

financial_metrics:

- Market Cap: 4112774.5536224404M
- Shares Outstanding: 14681.14
- Berkshire Hathaway cash hoard: \$397 billion

key_statistics:

- Change: 8.79 (3.2394%)
- Previous Close: \$271.35
- Current Price: \$280.14
- Open: \$278.855
- High: \$287.22
- Low: \$278.37

summary:

Apple reported strong Q1 2026 results, exceeding revenue and profit expectations. The stock price increased, and analysts at Morgan Stanley raised their price target, indicating a positive outlook.